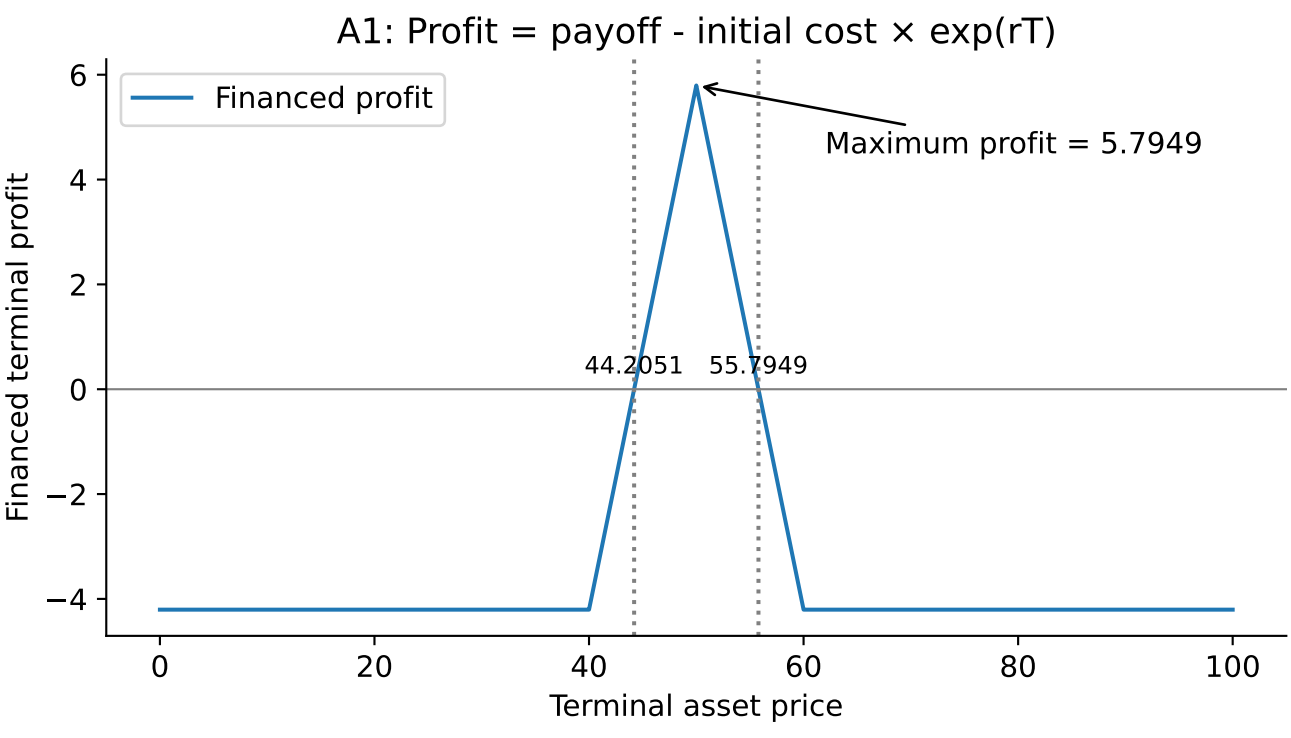
A1: Profit = payoff - initial cost × exp(rT)
Financed profit
Maximum profit = 5.7949
44.2051
55.7949
Financed terminal profit
Terminal asset price
6
4
2
0
−2
−4
0
20
40
60
80
100